COMPLIANCE & LEGAL REFERENCE SERIES · GEORGIA

Georgia property-management debt: the statute of limitations, the documentation standard, and when to accept a placement

A practitioner's guide to the legal constraints, liquidation benchmarks and FDCPA / Regulation F exposure behind undocumented Georgia tenant debt — and the Tier A/B/C acceptance standard Southwest Recovery Services applies to it.

Undocumented Georgia residential property-management debt is a low-recovery, elevated-risk product. Worked correctly — pre-legal only, with no credit reporting and no litigation until the file is cured — it can still be collected profitably. Worked the way most agencies work it, it produces write-offs, disputes that cannot be answered, and regulatory exposure that falls on the landlord as well as the collector. This paper sets out what the data and the Georgia courts actually say, and the acceptance framework that follows from it.

Executive summary

- **Conditional accept, pre-legal only.** Realistic net liquidation on undocumented Georgia tenant debt is 4–12% of placed dollars, against the roughly 15–20% the National Apartment Association reports for third-party recovery on documented rental debt. Files over twelve months old and undocumented plan at 1–5%.
- **No signed lease, no six-year clock.** Without a signed written lease the claim drops from Georgia's six-year written-contract limitation (O.C.G.A. § 9-3-24) to the four-year open-account limitation (§ 9-3-25). A meaningful share of undocumented placements is already time-barred.
- **No itemized ledger, no compliant validation notice.** Regulation F (12 CFR § 1006.34) requires an itemization date and an itemization of fees, interest, payments and credits. A bare balance cannot populate those fields, so every dunning contact on an undocumented file carries per-letter exposure.
- **Gate every placement through Tier A / B / C.** Full package: standard contingency, every channel, credit reporting and litigation. Partial: pre-legal only. Undocumented: pre-legal, voluntary only, no furnishing, no threat of suit, priced for the risk.

Part 1 — What the liquidation data actually shows

No published, rental-specific liquidation statistic breaks out recovery by documentation status, so any planning number for undocumented tenant debt has to be triangulated. The best rental-specific source is the National Apartment Association's white paper *Multifamily Debt Collections: Best Practices for Owners and Managers*

(2019), which puts third-party agency recovery on standard market-rate rental debt at roughly 15 to 20 percent and "lower than 10 percent" for affordable housing, housing authorities and poverty submarkets. The NAA names documentation quality as one of the primary recovery drivers, alongside consumer credit quality, average balance, geography, damage policies and account age, and quotes ACA International's rule that for every 30 days an account sits unworked it becomes about 16 percent less likely to be collected.

The NAA's most directly useful finding is the documentation multiplier: agencies "typically recover up to three times better" from prior residents whose file includes the identifiers needed to find and verify them — Social Security number, date of birth, driver's license — than from residents whose file does not. That is the closest published proxy for the documentation penalty, and it is the basis for the planning discount this paper recommends: underwrite undocumented files at 40 to 60 percent below the documented baseline. In practice that means documented Georgia PM debt plans at about 15–20 percent net liquidation; an undocumented, blended portfolio at about 4–12 percent; and undocumented files more than twelve months old at about 1–5 percent. These are planning estimates rather than audited results, and they should be replaced by the client's own tracked performance after two quarters of live data.

Age at placement compounds the documentation penalty rather than adding to it. General-collections data (not rental-specific) shows a steep decay curve as accounts age before they reach an agency, and the two effects multiply: an account that is both old and undocumented has lost the voluntary-resolution window and the litigation option at the same time.

AGE AT PLACEMENT	DOCUMENTED RECOVERY (EST.)	UNDOCUMENTED RECOVERY (EST.)	CONFIDENCE
0–3 months	25–35%	12–20%	Moderate — anchored to NAA fresh, low-balance figures
3–6 months	18–25%	8–14%	Moderate
6–12 months	12–18%	5–10%	Moderate
12–24 months	7–12%	3–7%	Moderate
24+ months	3–8%	1–4%	Low — highly age-dependent

Sources: NAA (2019); ACA International; Commercial Collection Agencies of America via the Credit Research Foundation. Planning ranges, not audited figures.

The compounding rule has a hard legal edge in Georgia. Because recovery decays roughly 16 percent per 30 unworked days and the open-account limitation is two years shorter than the written-contract limitation, an undocumented file older than four years is both pre-legal-only and time-barred from suit — near-worthless for anything beyond a first-contact voluntary resolution, and high-risk to furnish. The practical recommendation is to decline, or heavily discount, undocumented files older than about three years.

Part 2 — Georgia's statute-of-limitations framework

The single most important legal fact in this analysis is that Georgia treats a signed lease and an unsigned balance as two different kinds of claim with two different clocks. A written contract — a signed lease with its addenda — carries a six-year limitation under O.C.G.A. § 9-3-24, and the lease itself establishes the tenant's duty, the amount, and the authorization for late fees and other charges. An open account or implied contract, which is what a ledger-only or balance-only placement becomes, carries a four-year limitation under § 9-3-25 and arrives

in court with the amount in dispute and no written fee authorization. A prior money judgment is a third category: seven years, renewable, under § 9-12-60, and self-proving.

CLAIM TYPE	LIMITATION	DOCUMENTATION REQUIRED	LITIGATION RISK
Written contract (signed lease)	6 years — O.C.G.A. § 9-3-24	Signed lease and addenda	Lower — duty and amount can be established
Open account / implied contract	4 years — O.C.G.A. § 9-3-25	Account ledger only	Higher — amount disputes; no fee authorization
Prior money judgment	7 years, renewable — O.C.G.A. § 9-12-60	Certified judgment copy	Lowest — the judgment is self-proving

A prior dispossessory proceeding changes the collectability of a file, but only if it produced a personal money judgment. A dispossessory that ended in a money judgment converts the debt into a seven-year, renewable judgment that is garnishment-ready under O.C.G.A. § 18-4-5 following *Strickland v. Alexander*; it is the highest-value file type a property manager can place. A dispossessory that ended in a writ of possession only did not create a monetary obligation at all. A writ is the right to recover the premises, not a judgment a creditor can enforce against wages or a bank account. Every placement that references a prior eviction therefore needs one fact confirmed before it is worked: did the court enter a money judgment, in what amount and on what date, or only a writ?

Georgia's clock runs from the date the debt became due or the last payment was made, and for tenant debt that produces several different start dates inside one file. The last month's unpaid rent generally starts the clock on the day rent was due. Damage charges generally run from the lease-end date, when the damages became ascertainable. Late fees run separately for each fee, which on an older file can leave some charges time-barred while others are not. A placement that arrives as one balance hides all of that; a placement that arrives as an itemized ledger makes it visible.

Part 3 — What a Georgia court will require to grant judgment

Even where the limitation period has not run, Georgia courts hold undocumented collection claims to a high evidentiary bar at summary judgment, and two Court of Appeals decisions define it. In *Nyankojo v. North Star Capital Acquisition*, 298 Ga. App. 6 (2009), a collection plaintiff offered an affidavit reciting an account balance without the underlying account agreement and statements as authenticated business records. The court held the affidavit was inadmissible hearsay under the business-records exception (now O.C.G.A. § 24-8-803(6)) because the affiant had no personal knowledge of the original records, and that it was insufficient to establish a prima facie case. In *Wirth v. Cach, LLC*, 300 Ga. App. 488 (2009), a debt buyer's affidavit failed for the same reason: the affiant's knowledge came from data imported into the buyer's own system, not from the original creditor's records, so there was no foundation for the exception.

Translated to property-management debt, a manager's affidavit that "the tenant owes $X" will fail under the same logic if it is not supported by the signed lease, the itemized rent roll and the final statement of deposit account, each authenticated by a records custodian with personal knowledge. These cases are consistently reaffirmed, and the consequence for undocumented placements is simple: litigation is not a viable collection strategy without the original records. The evidentiary package that survives summary judgment in a Georgia tenant-debt action is the signed lease and all addenda, which establish the duty, the fee authorization and the

six-year limitation; an itemized rent roll or ledger showing rent charged, late fees, credits and the deposit application; a final account or statement of deposit account with an itemization date; move-in and move-out inspection reports with dated photographs and repair invoices for any damage claim; the notice to vacate or lease-termination documentation; the dispossessory filing and its resulting judgment, identified as a money judgment rather than a writ; and an authenticating affidavit from a custodian who actually kept those records.

Part 4 — Federal compliance exposure on undocumented files

Georgia requires no collection-agency license or bond for a third-party agency, subject to the narrow cash-handling-agent bond provisions of O.C.G.A. § 10-6-100. That lowers the barrier to entry; it does not lower the exposure. The FDCPA, Regulation F, the FCRA and Georgia's Fair Business Practices Act (O.C.G.A. § 10-1-390 et seq.) all apply to residential tenant debt, and each creates a distinct problem when the file arrives as a balance with nothing behind it.

Under the FDCPA, a balance the collector cannot substantiate is a misrepresentation risk under § 1692e(2)(A) on every dunning contact. Late fees, lease-break fees and damage charges must be authorized by the agreement under § 1692f(1), and the collector bears the burden of producing it; with the lease missing, that burden cannot be met. Under § 1692g, the first dispute requires verification and collection must cease until it is provided, so an undocumented file effectively dies at the first dispute. And Regulation F's § 1006.30(b) prohibits suing or threatening to sue on time-barred debt, which is directly relevant given how quickly the four-year open-account clock runs on these files.

Regulation F's validation-notice requirement is the sharpest of these problems. Section 1006.34 requires the notice to state an itemization date (one of five permitted reference dates), the amount owed as of that date, and an itemization of interest, fees, payments and credits since. Without an itemized ledger those fields cannot be populated, and leaving them blank is itself a cited violation. On an undocumented file, Southwest Recovery Services cannot issue a facially compliant validation notice, which means every letter carries exposure rather than discharging it.

The FCRA adds a third layer. A furnisher must ensure accuracy and reasonably investigate disputes under § 1681s-2, responding within thirty days. Furnishing an unsubstantiated rental balance creates direct accuracy exposure on the tradeline, and when the consumer disputes it the furnisher must either suppress the tradeline or certify an accuracy it cannot substantiate. The industry has already reacted: CFPB data shows contingency-fee collectors' tradelines fell 38 percent between 2018 and 2022, a rational response to exactly this risk. SWRS furnishes rental debt through Experian RentBureau, and the policy that follows from the analysis above is that undocumented placements are not furnished at all. Credit reporting on Tier C files is disabled by default in the client agreement and switched on only when the documentation arrives and the file upgrades.

The enforcement context reinforces rather than relaxes that posture. The CFPB's 2023 and 2024 FDCPA Annual Reports specifically flagged rental-debt collection as a priority, and the CFPB and FTC jointly issued a 2023 request for information on tenant screening. Federal posture has softened under the 2025 leadership changes, but the FDCPA, FCRA and Regulation F remain fully in force and privately enforceable, and the Georgia Attorney General's authority under the Fair Business Practices Act has not softened at all. Compliance risk on these files should never be underwritten to zero on the strength of the federal mood.

Part 5 — The Tier A / B / C placement-acceptance standard

Undocumented Georgia PM debt can be worked profitably at the pre-legal stage if it is priced and conditioned correctly, and the way to do that consistently is to gate every placement through a documentation tier before it is assigned to a channel. The tier decides the contingency rate, the channels available, whether litigation is on the table, and whether the account is furnished.

TIER	DOCUMENTATION	CONTINGENCY	CHANNELS	LITIGATION	CREDIT REPORTING
A — Full package	Signed lease, itemized ledger, SODA, inspection documents, debtor identifiers	Standard rate	All — dialer, mail, email, skip trace	Yes — full referral path	Yes — RentBureau eligible
B — Partial	Ledger but no signed lease, or partial identifier data	Standard rate	Pre-legal only	No	Only if the balance is fully substantiated and itemizable
C — Undocumented	Bare balance only	Higher, risk- and yield-adjusted	Pre-legal, voluntary only	No — and no threat of suit	No — disabled by default in the contract

Tier A is the standard the whole framework is built to pull clients toward. To qualify, a placement must include the signed lease and any addenda or guaranty, which establish the six-year limitation and the § 1692f fee authorization; the itemized ledger or rent roll showing rent, late fees, credits and deposit application, which is what makes a Regulation F itemization possible; the final account or statement of deposit account with its itemization date; move-in and move-out inspections with dated photographs and repair invoices for any damage charge; the notice to vacate or lease-termination election; the dispossessory filing and its resulting judgment, specifying money judgment versus writ and the type of service; and the debtor identifiers — full name, last known address, Social Security number, date of birth, phone and email — that the NAA associates with up to a threefold lift in recovery. None of these is optional for Tier A, and the signed lease, itemized ledger, SODA and identifiers are not negotiable.

Tier C placements can still be accepted, but the client agreement has to carry the risk honestly. It should include a client warranty of the accuracy of the balance and of the client's legal entitlement to it; a documents-on-demand clause requiring the client to produce the file within fourteen days of a debtor dispute, with the account returned and collection ceased if it does not; indemnification of SWRS for FDCPA, FCRA and Regulation F claims arising from inaccurate or undocumented placement data; a no-credit-reporting default, with furnishing disabled unless and until the file upgrades to Tier B or A; a no-litigation default, with no legal referral and no threat of suit without a cured file; and a higher contingency rate that reflects the lower expected yield and the compliance overhead of working the file at all.

Part 6 — Why this matters in the Georgia market now

Georgia's property-management landscape concentrates exactly the kind of inventory this framework is built for. The Atlanta metro is among the five largest multifamily rental markets in the country, with placements clustered in Fulton, DeKalb, Gwinnett, Cobb and Clayton counties. Average asking rent in Georgia passed $1,700 a month in 2023, and at that balance level the NAA's data shows recovery drifting toward the lower end of its published

range. Most importantly, the post-pandemic eviction-moratorium backlog left Georgia's major metros with an elevated stock of aged tenant debt, much of it now three to five years old and either approaching or past the four-year open-account limitation. A property manager sitting on that inventory has a narrowing window in which the documented portion can still be litigated and the undocumented portion can still be worked voluntarily at all.

The questions property managers ask about this inventory have short answers once the framework is in place. Can tenant debt be collected without a signed lease? Yes, pre-legally and on a voluntary basis only; it is a Tier C placement, and litigation and credit reporting are off the table until the lease and ledger arrive. What is the limitation period on tenant debt in Georgia? Six years on a signed lease, four years on an open account, and seven renewable years on a prior money judgment. Does a prior eviction help? Only if the court entered a personal money judgment; a writ of possession alone creates no obligation that can be garnished. Can undocumented balances be reported to the bureaus? They should not be: without the lease and ledger the furnisher cannot run the reinvestigation the FCRA requires, so Tier C reporting is disabled by default. And what recovery should be modeled? Four to twelve percent on a blended undocumented portfolio against fifteen to twenty on documented files, with one to five percent on undocumented files more than a year old — and the largest controllable variable in every one of those numbers is what the client hands over at placement.

The timing cuts both ways for an agency as well. Georgia's absence of a licensing requirement means that inventory will be solicited by collectors with no documentation standard at all, and the files that come back from them — disputed, time-barred, or furnished and then suppressed — are harder to recover than files that were never worked. A property manager choosing where to place aged Georgia debt is choosing, in effect, whether the documentation question gets asked at intake or in a courtroom.

How Southwest Recovery puts this to work

SWRS applies the Tier A / B / C standard at intake, before any account is assigned to a channel, so that a Georgia property manager knows on day one which files are litigation-eligible, which are pre-legal only, and which are being worked on a voluntary basis with reporting and legal threats switched off. Tier A files run the full cycle: skip tracing, AI-assisted dialing, email and direct mail on the front end, Experian RentBureau furnishing where the balance is substantiated, and litigation referral with judgment enforcement through post-*Strickland* garnishment on the back end. Tier B and Tier C files are worked pre-legally with the same contact tools and none of the exposure, and they upgrade the moment the documents arrive. Pricing is contingency-only with no upfront fee, in a range of roughly 18 to 45 percent depending on account age, documentation tier and portfolio size, and every account is visible in the SWRS client portal with real-time status, secure document upload and direct-payment reporting.

Operationally, the tiering happens inside the placement itself. Georgia property managers place through the SWRS client portal using structured placement templates, attach the lease, ledger and SODA through the secure document vault, and see each account's tier, status and activity in real time; when a resident pays the property directly, the manager reports it in the portal in about a minute and SWRS stops contact on that account. That workflow matters here for two reasons. It makes the documentation gap visible at the moment it is cheapest to close — the manager sees which files are sitting in Tier C and what is missing to move them up — and it puts the lease, ledger and inspection records in the file from day one, so a dispute can be verified under § 1692g and a Regulation F validation notice can be itemized without going back to the property for paperwork.

Two benchmarks would change the recommendation in either direction. If a client produces signed leases and ledgers on the bulk of a portfolio, the portfolio upgrades to Tier A and standard economics apply; if the

portfolio consists of prior money judgments rather than writs, it is treated as high-value inventory with a seven-to-ten-year, garnishment-ready enforcement horizon. In the other direction, if tracked Tier C net liquidation falls below about four percent after two quarters of live data, the segment should be declined, and if Georgia or federal enforcement on rental-debt furnishing intensifies, Tier B and C credit reporting tightens to zero.

The economics explain why the framework is worth the discipline. Experian RentBureau furnishing is the leverage most landlords cannot create for themselves: a substantiated rental tradeline follows a former resident into their next application, which is why Tier A and substantiated Tier B files resolve voluntarily at rates a bare balance never reaches. A money judgment adds the second lever, a seven-year renewable claim that can be renewed and garnished long after a voluntary program has gone quiet. Both levers are earned by documentation, and both are forfeited by its absence. A property manager who treats the placement file as part of the move-out process — lease, ledger, SODA, inspection and identifiers assembled while the records are fresh — is not just making the agency's job easier; they are choosing a fifteen-to-twenty-percent product over a four-to-twelve-percent one on the same dollars.

About Southwest Recovery Services

Southwest Recovery Services is a property-management and multifamily recovery specialist working post-eviction and unpaid-rent balances on pure contingency since 2004 — with a strong Texas footprint of six offices (Addison HQ, Austin, Dallas, Houston, Midland, San Antonio) among twelve across nine states, and recovery reach nationwide. Over two decades we have placed more than $975M in receivables, recovered over $76M for clients, and worked 800,000+ accounts. We furnish qualifying rental accounts through Experian RentBureau — the rental-specific value-add most landlords cannot report themselves — at no additional charge, and we work every account on pure contingency ($0 upfront) under a documented, FDCPA/Regulation F-compliant process as an ACA International member. Property-management clients place and track accounts through the SWRS client portal at swrsportal.com, with real-time account status, secure document upload and direct-payment reporting.

Ready to evaluate a Georgia property-management portfolio?

Send the portfolio — documented or not — and we will tier it, tell you which files can still be litigated, which can still be furnished, and what each tier should realistically liquidate, before you place a single account. Pure contingency: no recovery, no fee.

Call **(866) 551-4684** · **sdietz@swrecovery.com** · **swrecovery.com**

Provided for general informational purposes; not legal advice. Georgia statutes and cases cited (O.C.G.A. §§ 9-3-24, 9-3-25, 9-12-60, 18-4-5, 10-6-100, 10-1-390; *Nyankojo v. North Star Capital Acquisition*; *Wirth v. Cach, LLC*; *Strickland v. Alexander*) should be confirmed with qualified Georgia collections counsel, and pin cites verified, before adopting any client-facing policy. Regulatory references reflect the state of law as of August 2026; the FDCPA, FCRA and Regulation F remain in force and privately enforceable. Recovery figures are planning estimates, not audited results, and vary by portfolio. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.